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Pilot project for green hydrogen production in Uzbekistan – interim equity loan

Location:

Uzbekistan

Project number:

55025

Industry:

industry and services

Public/private sector:

private

Environmental audit category:

A

Approval date:

June 26, 2024

State:

has passed final review, approval is pending

Date of publication of the project summary in English:

January 29, 2024

Project Description

The project provides a bridge equity loan of up to US\$5.5 million to finance the construction of a green hydrogen production complex, including a 20 MW electrolysis plant powered by a 52 MW wind farm, to produce approximately 3,000 tonnes of green hydrogen per year. The electrolysis plant will be located in the city of Chirchik in the Tashkent region, and the wind farm will be located in the Gijduvan district of the Bukhara region. The wind farm will be located on the site of the existing 500 MW Bashskaya wind farm, financed by the EBRD (a summary of this project is available at <https://www.ebrd.com/work-with->

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us/projects/psd/52772.html). The loan will be guaranteed by UzKimyoSanoat Joint Stock Company.

Project objectives

By funding the green hydrogen production complex, the project aims to support:

- a) the creation of the first green hydrogen production facility in Uzbekistan and Central Asia, which should become a clear example for the development of other similar projects;
- b) decarbonization of ammonia production in Uzbekistan, taking into account its use in fertilizer production;
- c) expansion of electricity production from renewable sources.

Impact on the transient process

Expected impact score on PP: 71.

The project will contribute to the "green" transition process by establishing Uzbekistan's first green hydrogen production facility using electrolysis technology. The project aims to serve as a model for developing the green hydrogen market by engaging the private sector in Uzbekistan and the region. The project will also advance the "inclusive" transition process by promoting human capital development in Uzbekistan's green energy sector by strengthening ACWA Power's HR policies and practices in the area of equal opportunity and assisting in the development of an action plan to ensure a gender-responsive and just transition.

The project is a central part of the Bank's overall policy dialogue activities on low-carbon hydrogen production and ammonia decarbonization in Uzbekistan.

Client Information

JV LLC "ACWA POWER UKS GREEN H2"

ACWA Power UKS Green H2 LLC JV (Borrower), a newly created special purpose vehicle registered in Uzbekistan for the development and implementation of the project. The Borrower is jointly owned by ACWA Power Company and UzKimyoSanoat JSC (UKS).

ACWA Power is an experienced international designer of power plants, desalination plants and green hydrogen production.

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UKS is a chemical and fertilizer manufacturer registered in the Republic of Uzbekistan. One of UKS's divisions will act as the buyer of the green hydrogen produced as part of the project.

EBRD financing

5 million 500 thousand US dollars

Total cost of the project

5 million 500 thousand US dollars

Complementarity

Financing scheme: The EBRD plays a complementary role by providing financing on terms not available in the local market.

Risk mitigation: The EBRD's participation in the project brings additional benefits given its experience in implementing similar projects in other countries of operations (COs) and its presence in the Uzbek market.

Setting Standards: The project will conduct an information campaign to attract women to Uzbekistan's green energy sector.

Environmental and social issues

The project is classified as Category A (in accordance with the 2019 ESP) because it involves the expansion of a wind farm currently under construction (the Bashskaya Wind Farm, with a capacity of 500 MW), classified as Category A and already financed by the Bank, which is associated with various sensitivities and impacts, including those related to biodiversity. The additional capacity also falls under Category A. Electricity from the additional capacity will be transmitted via an overhead power line connected to the Bashskaya Wind Farm. The project also includes the construction of a separate electrolysis plant in another region on the site of an existing ammonia production facility. In accordance with the offset supply agreement, the electrolysis plant will produce green hydrogen using energy generated by the wind farm's additional capacity. As a separate facility and given its remoteness from the wind farm and the limited impacts it may have, the electrolysis plant is classified as a Category B project. The ESMP, necessary for structuring the project in accordance with the EBRD's environmental and social requirements, has currently been agreed upon in principle with the borrower and will be fully agreed upon by the Board of Directors meeting.

Based on the ESIA for the Bashskaya Wind Power Plant project with a capacity of 500 MW, an annex to the ESIA for additional capacity was prepared, published on December 21, 2023, for public comment for a period of 60 days. In the package

The ESIA includes the ESIA conclusion, SEP, non-technical summary, and an E&S management system framework document, which includes comprehensive biodiversity data and a cumulative impact assessment. Other existing management documentation for the existing wind farm (including the Resettlement Action Plan) has also been updated. Prior to its release, the ESIA was reviewed by an independent consultant and the Bank. To date, stakeholders have not raised any concerns regarding the ESIA. The ESIA concludes that the additional wind farm capacity will have similar impacts to the existing wind farm and can be managed through the existing planned mitigation measures. The turbines for the additional wind farm capacity will be supplied by the same manufacturer. The additional capacity is subject to the same supply chain due diligence, legal controls, and ESAP obligations as the existing Bashskaya Wind Farm, and no new due diligence is required.

Monitoring of the 500 MW Bashskaya Wind Farm under construction has shown that ACWA Power has established positive relationships with the community through regular dialogue and social initiatives, and no serious issues have been raised by CSOs.

However, the wind farm project is associated with increased labor and safety risks, requiring periodic independent worker assessments. The results of these assessments were communicated to ACWA Power, which agreed to meet the demands of the lenders, including the Bank. During a subsequent site visit in May 2024, an environmental and social specialist and independent occupational safety auditors engaged by the lenders for the 500 MW Bashskaya Wind Farm construction noted significant progress in addressing these key issues.

Additional corrective actions to address the remaining issues were agreed upon with the general contractor and included in the Corrective Action Plan (CAP). Despite some progress in implementing some items in the CAP and the initial ESAP, a number of areas remain behind schedule. These include the hiring of environmental and social experts to effectively monitor contractors' workforce, and the implementation of biodiversity-related measures, such as a compensatory reintroduction program for endangered bird species to prevent net decline, as well as the appointment of a biodiversity expert. All of these issues must be addressed before the wind farm expansion begins. ACWA Power has committed to addressing these outstanding items in the near future. Although another general contractor will provide the additional capacity, the first disbursement of the senior loan is subject to a labor and safety audit. The bank will monitor the CAP's implementation and will review the audit report.

An experimental electrolysis plant for hydrogen production will be located on the territory of the UKS - MAXAM Chirchiq ammonia plant in

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Chirchik. Based on the size of the plant and the ease with which its associated environmental and social risks and impacts can be mitigated, it is classified as a Category B project. An independent consultant prepared the ESIA for permitting, along with an E&S management system framework document, a non-technical summary, and an SEP. The EBRD's environmental and social requirements are included in the EIA. It has been reviewed by an independent consultant and by the Bank. The non-technical summary for the electrolysis plant has been released along with the project summary. The electrolysis plant must be designed using "best available techniques" (BAT) and have appropriate safety features and their assessment. The EIA states that the impacts of the electrolysis plant are limited. The electrolysis plant will consume small volumes of water from the ammonia plant's water supply system. This should not impact available water resources. The electrolysis plant will produce a small volume of hydrogen (3,000 tons), which will be fed directly into the ammonia plant system. No storage facility is required.

The placement of an electrolysis plant on the premises of an existing production facility could potentially pose a threat to industrial safety, which is exacerbated by the presence of residential buildings near the plant. Therefore, safety measures for the electrolysis plant will need to be integrated into the plant's industrial safety assessment system and procedures, as well as emergency response measures. Under these conditions, it is expected that industrial safety risks will be sufficiently mitigated. The ESMP also requires specific industrial safety studies, mitigation measures, and

risk control.

The project will be monitored, including by site visits, by an independent consultant, an independent environmental and social consultant, and competent labour relations specialists on a quarterly basis, and by the Bank itself, as necessary.

Technical cooperation and grant funding

The project will provide technical assistance (TA) in planning and implementing activities to enhance gender and economic inclusion: i) developing a national comprehensive plan to ensure a gender-responsive and just transition and ii) strengthening human resources policies and practices to ensure equal opportunities.

Policy dialogue activities will be supported by funds from the Multi-Donor Account for Equality and Gender, and gender activities will be supported by climate investment funds.

In terms of legal expertise, the project will receive assistance from the Customs Union, partly financed by the Japan-EBRD Cooperation Fund (JCF).

Contact person in the company

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Brief overview of the project implementation progress

Date of last update of the project summary

June 14, 2024

What is a transient process?

Further information on the EBRD's approach to assessing the projected transition impact of projects is available [here](#).

Opportunities to participate in projects

For any questions regarding participation in the project or procurement, please contact the client company.

For non-procurement related cooperation with the EBRD, please contact: Tel.: +44 20 7338 7168

email email: projectenquiries@ebrd.com

Public sector projects: see [EBRD Procurement](#)

tel.: +44 20 7338 6794

email email: procurement@ebrd.com

General information

Specific information requests can be made using the [EBRD information request form](#) .

Environmental and Social Policy (ESP)

[ESP](#) The EBRD's Performance Requirements (PRs) and the associated Performance Requirements (PRs) set out the procedures through which it implements its commitment to promoting environmentally responsible and sustainable development. The ESPs and PRs include specific requirements for clients to comply with relevant national laws on public information and consultation, and to establish a grievance mechanism to consider and facilitate the resolution of stakeholder concerns and grievances, particularly regarding the client's and the project's environmental and social performance. Depending on the nature and scale of a project's environmental and social risks and impacts, the EBRD additionally requires its clients, where appropriate, to disclose information about the risks and impacts of projects and to conduct meaningful stakeholder consultations to obtain and respond to their feedback.

Further information on the EBRD's practices in this area is contained in [the ESP](#).

Business integrity and compliance established norms

The EBRD's Office of the Chief Compliance Officer (OCCO) promotes responsible governance and ensures that all aspects of the Bank's operations meet the highest standards of integrity and are consistent with international best practice. Integrity due diligence is conducted on all Bank clients to eliminate unacceptable risks associated with misconduct, as well as reputational risks to the EBRD. The Bank believes that identifying and addressing problematic issues at the project assessment and approval stages is the most effective means of ensuring the integrity of the Bank's transactions. The Office of the Chief Compliance Officer (OCCO) plays a key role in these preventative measures and also helps monitor risks to the Bank's business reputation at the post-investment stage.

The Compliance Control Department is also responsible for investigating allegations of fraud, corruption, and misconduct in EBRD-financed projects. Anyone within or outside the Bank who suspects fraud or corruption must notify the Head of Compliance in writing by emailing compliance@ebrd.com. All reported facts will be reviewed by the OCC for appropriate action. All reports, including anonymous ones, will be verified. These reports may be made in any language of the Bank or the Bank's country of operations. Such information must be provided in good faith.

Access to Information Policy (AIP)

The Access to Information Policy, which came into effect on 1 January 2020, sets out the EBRD's procedures for disclosing information and consulting with stakeholders to promote better knowledge and understanding of its strategies, policies, and operations. For access to information, please visit the [Access to Information Policy](#) section on the EBRD website.

Specific information requests can be made using the [EBRD information request form](#).

Independent Project Accountability Body (IPAB)

If attempts to address environmental, social or disclosure concerns about a client or the Bank (e.g. through a client-established project-level grievance mechanism or through direct engagement with Bank management) are unsuccessful, individuals and organisations may seek to address their concerns through the EBRD's Independent Project Accountability Mechanism (IPAM).

The NSPA independently assesses project issues that, according to complainants, have either already caused harm or are likely to cause harm in the future. The NSPA's responsibilities include: maintaining dialogue between project stakeholders to resolve environmental, social, and disclosure issues; assessing the Bank's compliance with its [Environmental and Social Policy](#), as well as the provisions of [the Access to Information Policy](#) related to the draft; and, if necessary, eliminating existing cases of [non-compliance with these regulatory documents](#), taking measures to prevent the [Bank from non-compliance with them in the future](#).

Visit [the Independent Project Accountability Authority website](#), To learn more about the NOPP and its mandate, and to find out how [to apply](#) to conduct an inspection, or contact the NPPP by email at ipam@ebrd.com with questions, for [additional information](#) or application instructions.
